

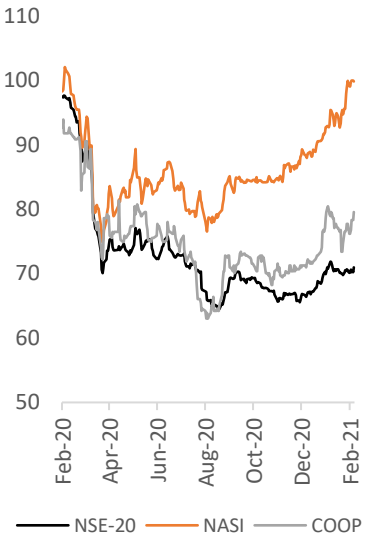
Co-operative Bank FY20 Earnings Note

Co-operative Bank's FY20 net earnings plummeted 24.4% y/y to KES 10.8B driven by a 219.5% y/y surge in loan loss provisions to KES 8.1B and a 23.9% y/y uptick in operating expenses. The Group announced a KES 1.00 dividend per share translating to a dividend yield of 7.8% on the current price of KES 12.80 with book closure slated for 31st March 2021 and payment date on 14th April 2021.

We maintain a BUY recommendation on COOP with a target price of KES 16.82 offering a potential upside of 31.4% on the current price.

DATE:	18th March 2021
Target Price:	KES 16.82
Current Price:	KES 12.80
Upside:	31.4%
52 Week Low:	KES 10.05
52 Week High:	KES 17.00

COOP vs Indices



Source: AIB-AXYS Research

Single digit growth in loans and advances

In line with our expectations of a single digit growth, the loan book grew 7.5% y/y to KES 286.6B premised on slow economic activity due to the prevailing pandemic. Interest income grew 11.9% y/y boosted by a 30.5% y/y increase in income from government securities as increased liquidity due to slowed lending saw banks curl towards government paper.

Growing expenses dent bottom-line

Operating expenses grew 23.9% y/y to KES 31.3B premised on a 8.5% y/y rise in staff costs and a 44.8% y/y leap in other operating expenses. On the other hand, flat growth in interest expenses (+1.3% y/y to KES 12.5B) behind a 13.8% y/y growth in customer deposits to KES 378.6B, saw cost of funds decline 40bps y/y to 3.3% buoying the bottom-line.

Asset book deteriorates

In line with our expectations, NPLs grew 87.0% y/y to KES 59.1B leading to a gross NPL ratio of 20.6%. Loan loss provisions soared 219.5% y/y to KES 8.1B. We anticipate the continued recovery in the general economy coupled with the bank's diverse loan book to support an improvement in the bank's asset quality. However, uncertainty around the recovery of business in some sectors may see the NPL ratio remain high in the short to medium term.

Outlook

We foresee an improvement in performance going forward, falling on an expectation of increased lending as business activities resume. Loan book growth is expected to be supported by lending to MSMEs with capital support from IFC. We further anticipate an improvement in the NPL contribution in the trade and manufacturing sectors. We also anticipate an improvement in non funded income in FY21 supported by stable uptake of mobile banking loans.

Analyst

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Financial Statements

Income Statement	FY19 KES M	FY20 KES M	chg y/y
Interest Income	43,639	48,841	11.9%
Interest Expense	12,336	12,492	1.3%
Net Interest Income	31,303	36,349	16.1%
Non Interest Income	17,157	17,481	1.9%
Total Operating Income	48,460	53,830	11.1%
Total Operating Expenses	25,255	31,286	23.9%
Loan Loss Provision Expense	2,539	8,112	219.5%
Operating Profit	23,205	22,544	-2.8%
Profit Before Tax	20,706	14,282	-31.0%
Current Tax	6,395	3,469	-45.8%
Profit After Tax	14,311	10,813	-24.4%
EPS (KES)	2.44	1.84	-24.4%
DPS (KES)	1.00	1.00	0.0%
Balance Sheet			
Total Shareholders' Equity	79,335	90,726	14.4%
Customer Deposits	332,824	378,630	13.8%
Total Liabilities	376,152	444,897	18.3%
Total Equity and Liabilities	457,009	536,945	17.5%
Government and Other Securities	117,803	163,018	38.4%
Net Loans and Advances	266,713	286,634	7.5%
Total Assets	457,009	536,945	17.5%
Key Ratios			
Gross NPL (KES M)	31,618	59,134	87.0%
NPL Ratio	11.9%	20.6%	
Cost of Risk	1.0%	2.8%	
Loan to Deposits	80.1%	75.7%	
Yield on Interest Earning Assets	11.3%	10.9%	
Cost of Funds	3.7%	3.3%	
NIM	7.6%	7.6%	
Non Funded/Total Income	35.4%	32.5%	
Cost to Income Ratio	52.1%	58.1%	
ROE	18.0%	11.9%	
ROA	3.1%	2.0%	
Core Capital/TRWA	20.2%	17.3%	
Total Capital/TRWA	16.8%	15.4%	
Liquidity Ratio	46.2%	52.2%	
P/B (x)		0.8	
P/E (x)		6.9	

Source: AIB-AXYS Research, company fillings



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